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1. Which of the following best characterizes the view of Amartya Sen, as expressed in the SM131 Note on “Value Frames”? [3 points]
- A. all value is economic value
 - B. economic value should be understood based on how it is framed, i.e., based on how it is perceived by buyers
 - C. economic value can be usefully characterized as either objective (or ‘intrinsic’) or subjective (or ‘extrinsic’)
 - D. value should be considered to include human well-being, which depends on numerous factors, one of which is the extent to which individuals have autonomy in making decisions affecting their lives
 - E. one of the important considerations associated with social value is the extent to which individuals are able to control businesses in order to achieve social goals, like those associated with the social safety net
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2. According to the chapter we read on Management Information Systems, which of the following is most correct? [3 points]
- A. The focus of management information systems is on information technology, which includes computer hardware, computer software, data management technology, networking and telecommunications technology
 - B. Organization, management, and technology each play key roles in management information systems
 - C. Management information systems are principally relevant for digital firms but not manufacturing firms
 - D. Management information systems have evolved to be less interested in decision-support, as a result of advances in artificial intelligence
 - E. People analytics is the central output of a management information system
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3. According to the chapter we read about Marketing, which of the following statements most accurately reflects the Marketing Concept? [3 points]
- A. the goal of the Marketing Concept is to leverage product, price, distribution, and promotion to achieve the maximum possible willingness-to-pay
 - B. the Marketing Concept refers to the choice that firms have to make regarding targeting an entire market, a single market, a concentrated market, or a psychographic market
 - C. the Marketing Concept refers to the idea that firms should maximize consumer surplus by charging the lowest possible price for the highest possible quality
 - D. the Marketing Concept refers to the idea that firms should coordinate activities with the aims of achieving their own goals while also satisfying customers’ needs
 - E. the Marketing Concept guides firms to maximize profitability while minimizing consumer buyer power
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4. Which of the following is most true about the Industrial Revolution and/or Communism? [3 points]
- A. Karl Marx and Friedrich Engels formulated Communism after initially advocating for Mercantilist ideas following the Napoleonic Wars.
 - B. Italian city-states experimented with Communism during the Middle Ages but abandoned it during the Industrial Revolution
 - C. The Communist Manifesto was, in part, formulated as a response to criticisms of Capitalism that arose as a result of the Industrial Revolution.
 - D. Among the ways in which Karl Marx was prescient (i.e., was correct about the future) is that he expected Communism to be embraced in rural, peasant societies in autocratic societies, like those of early 20th century Russia.
 - E. A number of American Capitalists, including Milton Hershey, the founder of the Hershey chocolate company, ultimately rose up against capitalism after seeing how it destroyed the Industrial Revolution
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5. How does the book value of a company differ from its market value? [3 points]
- A. book value reflects the company's current stock price, while market value reflects its assets, liabilities, revenues, and costs
 - B. book value can be computed from information on the balance sheet, while market value is based on future earnings potential.
 - C. book value includes liabilities, while market value only considers assets.
 - D. book value changes frequently, while market value remains constant
 - E. book value reflects shareholder returns, while market value reflects management's strategy.
 - F. book value is down because no one reads anymore; market value is also down because all markets are free
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6. According to the note, "Introduction to Strategy," which of the following is most true? [3 points]
- A. Strategy, Finance, and Accounting are the three functions whose collective aim is to coordinate the activities of the firm
 - B. one of the main lessons of a Five Forces analysis is that a firm's ability to achieve value capture typically depends on much more than competition with rivals
 - C. one of the core lessons of the competitive positioning matrix is that in any industry, there is only one position that is likely to yield high profitability
 - D. competitive advantage is understood to be the condition in which a firm is able to make a better product or achieve greater customer service than its rivals
 - E. one of the key insights of strategy is that firms face a constant command to achieve maximum growth
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7. According to the note, "Introducing Investors," which of the following is most true? [3 points]
- A. debt investors experience greater risk than equity investors
 - B. book value and market value are typically equal because they are both reflect the same information about the firm, i.e., its financial value
 - C. investors in public firms typically expect firms to maximize profitability
 - D. equity investors typically expect firms to maximize profitability, while debt investors typically expect that firms will maximize corporate social responsibility goals while achieving profits
 - E. publicly held firms and privately held firms typically face the same requirements to report financial information
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8. According to the chapter we read on Management, which level of management or type of manager is most likely to dedicate time to controlling? [3 points]
- A. first-line management
 - B. marketing management
 - C. top management
 - D. operations management
 - E. middle management
 - F. shady management
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9. According to the "Labor Theory of Value," which we read about in Weeks #1 and #2, which of the following firm actions provides the best example of something that would create value? [3 points]
- A. increasing the number of human workers and decreasing the number of machines in a factory
 - B. increasing the number of machines and decreasing the number of human workers in a factory
 - C. increasing the price of the products produced in a factory
 - D. reducing the number of human workers in order to provide them with more medical leave and childcare leave
 - E. reducing the price of food in the factory's restaurant
 - F. increasing the number of frozen yogurt machines at Marciano Commons
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10. According to the note on "Value Creation and Value Capture," which of the formulas below best reflects Value Creation in the two-party scenario? [3 points]
- A. Value Creation = Willingness-to-Pay (WTP) - Price (P)
 - B. Value Creation = Price (P) - Cost (C)
 - C. Value Creation = Willingness-to-Pay (WTP) - Cost (C)
 - D. Value Creation = Price (P) - Willingness-to-Pay (WTP)
 - E. I knew Value Creation was trouble when it walked in.
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11. The **German Democratic Republic (GDR)** was a **country** in which the **state**, which was controlled by a single party, was the official owner of all property in the country. The government assigned property to citizens and organizations with the stated aim of ensuring equality in wealth for all. Firms were unable to retain profits for use in future projects. The government provided social services, including education health care, and national security. Officially, elections were held regularly in the GDR. In practice, however, the party ensured its victory in all elections and could create laws when they benefited the party. Following the Fall of the Wall in 1990, the GDR dissolved and its former states joined the Federal Republic of Germany (FRG) to become the modern German state. Former GDR state-owned enterprises were privatized and former GDR citizens became citizens of the FRG, a country characterized by free and fair elections and a robust social safety net. Using only the information above, please apply the concepts and frameworks of SM131 to answer the four questions below:
- (a) How would you characterize the **political** and **economic system** of the GDR? What facts above suggest that your characterization is most appropriate?
 - (b) Imagine a GDR-based firm, QuestroMode, that operated as a clothing-making firm in the GDR. How do you think its operations might be affected by this political and economic system?
 - (c) How would you characterize the **political** and **economic system** of the FRG? What facts above suggest that your characterization is most appropriate?
 - (d) Suppose a firm from the GDR survived the transition to the FRG. How would you expect its investment behavior to have changed?

[8 points]

(Please write your essay response on a separate piece of paper)

12. Identify a country with which you are familiar whose economic system you would describe as, “mixed.” What features lead you to your conclusion that it is a ‘mixed’ economic system? [4 points]
(Please write your essay response on a separate piece of paper)
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13. In his article, “Political Economy of Economic Policy,” Jeffry Frieden introduces the idea of ‘second-best policies.’ In your own words, please explain what he means by this and why it matters for business? [2 points]
(Please write your essay response on a separate piece of paper)
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14. Please assume that facts below are true and please answer the bulleted questions that follow:
FACTS
- Both the average cost of providing a four-year education at the Kenmore Business School (KBS) and the average price of that education are \$500,000 per student
 - The average cost of education at KBS’s biggest rival, Newton Business College (NBC) is \$100,000
 - After attending KBS the average student’s lifetime earnings increased by \$5.5 million
 - After attending NBC, the average student’s lifetime earnings increased by \$1.1 million.
- (a) On average, who captures more value from a KBS degree, the Business School or the student? What information supports your conclusion?
- (b) What is the maximum that the average student should be willing to pay for KBS if the only thing that matters to them is how much money they earn during their career?
- (c) On average, which business school creates more value, KBS or NBC? What information supports your conclusion?
- (d) Suppose that KBS made an investment that decreased the average cost of a KBS education by \$100,000 without affecting either the average willingness to pay for KBS education or its average price. How would this affect the value captured by KBS?
- [8 points]
(Please write your essay response on a separate piece of paper)
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15. During the first Module of SM131, we read case studies that included the firms Larami (Super Soaker case), Takeda, and Warby Parker. Please choose **one** of those firms and please do the following:
- (a) indicate which firm you have chosen & summarize its Industry Value Chain
- (b) provide an example of how the firm’s Marketing could contribute to economic value creation
- [6 points]
(Please write your essay response on a separate piece of paper)
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16. Please (a) summarize what we learn from a Porter’s Value Chain analysis and (b) summarize the role of human resource management in Porter’s Value Chain? [6 points]
(Please write your essay response on a separate piece of paper)
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17. Please choose one of the following firms we studied this semester - Larami (from the Super Soaker case), Warby Parker, or your simulated Coffee Shop - and refer to that firm when answering the following two questions:
- (a) The chapter we read on Operations Management describes the importance of The Transformation Process in Operations Management. Please describe an example of The Transformation Process at the firm you have chosen.
- (b) The chapter we read on Marketing describes the importance of Market Segmentation. Please explain the choices that the firm you chose made with regards to Market Segmentation.
- [6 points]
(Please write your essay response on a separate piece of paper)
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18. Please consider the Coffee Shop in which your team worked on in the Biz Cafe Simulation. Imagine that it were a real world coffee shop and identify one question relevant to the coffee shop that could be answered via each of the following types of analytics:
- (a) descriptive analytics
 - (b) predictive analytics
 - (c) prescriptive analytics
- [6 points]

(Please write your essay response on a separate piece of paper)

19. During the first Module of SM131, we read case studies that included the firms TikTok, Warby Parker, and the fictional Chandra-Park Aquarium (CPA). Please choose **one** of those firms, indicate which firm you have chosen, and provide:
- (a) one example of how a **management information system** might enable the firm to create value by **managing people** in that firm and
 - (b) one example of how a **management information system** might enable the firm to create value by improving **operations management**
- [6 points]

(Please write your essay response on a separate piece of paper)

20. The chapter we read on Accounting in Module #1 and the videos by Ray Wilson introduced three main Financial Statements. Please identify each of these three Financial Statements and, most importantly, summarize what we learn from each. [6 points]

(Please write your essay response on a separate piece of paper)

21. Imagine that you actually launched a coffee shop and, after a year of work, your business partner put together an Income Statement and Balance Sheet and claimed the following:
- (a) "The bottom line on the Income Statement states that our Inventory at the end of the year was worth \$2 million."
 - (b) "The Balance Sheet states that the business has Assets valued at \$10 million, Liabilities valued at worth \$3 million, and \$5m of Shareholder Equity."
- Based on your understanding of Accounting, from the Accounting Chapter and the videos featuring Ray Wilson, are you confident in your business partner's analyses in (a) and (b)? If so, why? If not, what might be wrong with (a) and (b)? [6 points]

(Please write your essay response on a separate piece of paper)

22. The note "Introducing Investors," introduced and explained the Principal-Agent Problem. Two of the classic examples of the Principal-Agent Problem involve (1) the management and ownership of public corporations and (2) getting your car repaired by a mechanic. Please choose one of the two, i.e., either (1) or (2), and answer the questions below:
- (a) Who is (or who are) the principal(s) in this example?
 - (b) Who is (or who are) the agent(s) in this example?
 - (c) What, if anything, is the problem in the scenario you have selected and can you find a perfect solution to it?
- [6 points]

(Please write your essay response on a separate piece of paper)